

US Networking & Communications Equipment

Celestica Inc

Rating

Outperform

Price Target

CL5

520.00 USD



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CL5: Could OpenAI Jalapeno be bigger for Celestica than Google TPU? And how sustainable is the business?

We believe the impact of OpenAI Jalapeno on Celestica is being substantially mismodeled.

Celestica's Jalapeno unit economics differs from that of TPU in two major ways. First, OpenAI's design attempts to bypass the scale-up layer in favor of maximizing the scale-up domain. This increases the importance and complexity of the scale-up switches - and by extension, Celestica's value add and profit dollars. Moreover, compared to TPU, the OpenAI Jalapeno has significantly more content outside of the consigned ASIC package, which could make a material difference to revenues per rack.

We continue to believe that there is significant visibility to upside to 2027 numbers, and believe risk/reward into the 10/27 investor day is positive.

We do worry that long-term investors may read through increases to near-term numbers as cyclical strength, driving further multiple compression. However, we are positive on the duration of the AI infrastructure build-out, on the quality of Celestica's incremental revenues, and the strength of Celestica's competitive positioning, especially since its profit dollars appear reasonable relative to the significance of Celestica's value add to customers. We believe the stock should still work longer term.

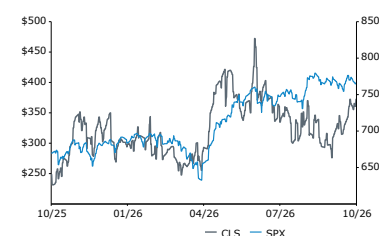
Investment Implications

We rate Celestica Outperform, with a \$520 price target. Initial feedback that EPS estimates for shorter-duration investors are closer to ours, while long-term investors are less focused on 2027 EPS. Accordingly, we moderate our expectations for the 10/27 analyst day as a catalyst. However, we continue to view risk/reward into the event as positive, and also believe that the stock remains attractive longer term, and reiterate our Outperform rating.

Close Date	1 Oct 2026			
CL5 Close Price (USD)	373.09			
Price Target (USD)	520.00			
Upside/(Downside)	39%			
52-Week Range	474.03/230.24			
SPX	7,666.45			
FYE	Dec			
Div Yield	NA			
Market Cap (USD) (M)	47,073			
EV (USD) (M)	47,348			
Performance	YTD	1M	6M	12M
Absolute (%)	26.2	27.5	29.2	48.2
SPX (%)	12.0	0.5	16.6	14.2
Relative (%)	14.2	27.1	12.6	34.0

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Reported EPS	F25A	F26E	F27E
CL5 (USD)	6.06	11.35	23.79

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	12,391	20,482	40,026	79.7%
EBITDA (M)	1,232	1,933	3,512	68.8%
Net Income Margin (%)	6.7	6.5	6.4	--

Valuation Metrics	F25A	F26E	F27E
Reported P/E (x)	61.6	32.9	15.7
Adjusted P/E (x)	61.6	32.9	15.7
EV/Sales (x)	3.8	2.3	1.2
EV/EBITDA (x)	38.4	24.5	13.5

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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DETAILS

We believe the impact of OpenAI Jalapeno on Celestica is being substantially mismodeled. Many investors appear to be forecasting the impact from OpenAI Jalapeno on Celestica's financials by benchmarking to Google TPU (Alphabet covered by Mark Shmulik). However, the financial impact differs in two key ways. First, and more importantly, OpenAI's design attempts to bypass the scale-up layer in favor of maximizing the scale-up domain. This increases the importance and complexity of the scale-up switches - and by extension, Celestica's value add and profit dollars. We also believe that investors are not fully appreciating the revenue implications of the consignment model used for the ASIC package.

- **We think OpenAI Jalapeno is being mismodeled.** Based on initial feedback from our initiation (see here: [US Networking: Scaling the bandwidth wall. Initiating with a positive view](#)), we believe that most investors are generally either 1) entirely unsure on how to model the impact of OpenAI Jalapeno on Celestica's financials, or 2) benchmarking the per-rack economics to that of Google TPU. However, we believe the latter approach is still significantly modeling the impact of the Jalapeno program, in two key ways.
- **OpenAI's design has significantly higher scale-up content than other rack architectures, increasing Celestica's value add and profit dollars.** We observe that both Google and OpenAI are sophisticated buyers who are likely able to anchor Celestica's (or any other supplier's) profit dollars to the value add. However, OpenAI Jalapeno is employing an ambitious design that differs materially from more well-established rack designs such as Nvidia or TPU, and one of the main differences is that Jalapeno seeks to minimize dependence on scale-out in favor of expanding the scale-up domain as much as possible. Given that high-performance switches are one of the highest value (and highest margin) parts of Celestica's business, and this increases the importance and complexity of the scale-up switches (Exhibit 1), this in turn would increase Celestica's value add to OpenAI, in turn, Celestica's profit dollars.
- **Because OpenAI Jalapeno is a full-rack program, Celestica's content should be much higher than for Google TPU, and the difference in revenue could be wider than the difference in profit dollars...** We remind investors that for both programs, Celestica is using a consignment model for the ASIC package. Under consignment, while Celestica is doing the manufacturing, and so components go into Celestica's facilities (and finished products come out), from an accounting perspective this is treated as a sale directly from ASIC suppliers to Google. The ASIC package (predominantly the ASIC itself and packaged HBM) would not hit Celestica's inventory or P&L, while the remainder of the components would flow through Celestica's inventory and then income statement. Because OpenAI Jalapeno is a full rack program, the total value of components that flow through Celestica's income statement is much higher than in the TPU program. While the accounting treatment likely has no impact to profit dollars (as mentioned, profit dollars are likely anchored to real economic value add), this could materially increase the revenue contribution from OpenAI Jalapeno compared to a hypothetical alternative where a higher share of component value was on consignment.

Accordingly, we believe investors that are forecasting OpenAI Jalapeno by benchmarking to TPU economics are significantly underestimating the revenue contribution from OpenAI Jalapeno. We believe OpenAI Jalapeno is a ~\$5M rack; a 1.3 GW deployment would imply \$11.6B in revenues. Based on our conversations with industry participants, and comparing to our prior work on Nvidia rack economics, we estimate Jalapeno is a ~\$5M rack (Exhibit 1, again). We believe the consigned accelerator package includes a ~\$2M ASIC and ~\$900k in HBM, so excluding the accelerator package, the rest of the rack contains ~\$2.2M in Celestica content, which would flow through Celestica's inventory and income statement. Given Broadcom's disclosure that this would be a 1.3GW deployment in 2027, SemiAnalysis' estimate that Jalapeno requires 180 kW of provisioned power ([link](#)), and our own estimate that the Jalapeno pod will consume ~80% of total data center power, this implies that this could be ~5.6k racks in 2027, or a \$11.6B revenue opportunity.

In theory, the turnkey would have the same profit dollars but higher revenue compared to consignment, potentially fueling concerns about margin dilution. However, we would still expect Jalapeno to be margin accretive compared to Celestica's overall business. Our revenue estimate include significant guesswork, and we would be even less confident about margins. However, even assuming that Celestica is making ~50% margins for OpenAI scale-up content (a lower margin than the broader switching industry), and that it makes zero margins on the rest of the rack, that implies that it is making ~\$340k in profit dollars per rack. Dividing by \$2.2M in total Celestica content implies a 16% gross margin, vs. Celestica's current margins of 11.5%. Accordingly, even with what we see as very conservative margin assumptions, Jalapeno should still be margin accretive for Celestica.

More broadly, we believe consensus numbers for Celestica are materially too low. Between Google TPU, OpenAI Jalapeno, AMD Helios and the 1.6T switching business more broadly, we see ~\$25B in YoY revenue growth

opportunities. Even haircutting numbers for potential operational risks, we see meaningful upside to consensus expectations of ~\$16B.

- **Revenue “to accelerate” in fiscal 2027 as a result of new programs: consensus is modeling CCS revenue up 12.8B and the whole company up ~\$15B YoY.** On the 2Q26 earnings call on July 28, Celestica guided to 2026 revenues of \$20.5B, implying YoY growth of 65%. They further stated that, while the detailed full year outlook for 2027 would come later in the year, “as a result of exceptionally strong customer demand and new program wins, we expect our revenue growth rate to accelerate as compared to 65% growth expected in our 2026 annual outlook.” Consensus appears to be expecting modest acceleration: Bloomberg consensus is modeling the total company up ~\$15B from \$20.6B to \$35.7B, representing 73% YoY growth (Exhibit 2).
- **We work through the new programs, and think this could be a ~\$25B revenue opportunity. Google TPU could be \$8B in incremental revenue, OpenAI Jalapeno could be \$11.5B, and 1.6T switching (including AMD Helios) could be \$6B (Exhibit 3).**
- **Google accounts for ~35% of Celestica’s volumes, largely from TPUs. With TPU volumes set to double, Celestica’s Google revenue could double as well.** Celestica disclosed in its 10-Q that it has 3 customers accounting for 34%, 16% and 15% of 1H2026 revenues. Google’s TPU program is Celestica’s highest profile customer engagement, and there seems to be little doubt that Google is Celestica’s 34% customer, implying that Celestica expects to earn ~\$7B in revenue from Google in 2026. While Google has never been sole sourced (Inventec is widely reported to be the other TPU partner), we note that as rack densities increase, the complexity of the TPU program and thus the value add of Google’s manufacturing partners increases as well, likely driving growth in revenue per TPU. While Google is not sole sourced with Celestica, we also see limited reason for major shifts in share of wallet at Google, especially given trade uncertainties and that Celestica is one of the only players with meaningful manufacturing capacity in North America, with Celestica highlighting increased capex to support this ramp. Accordingly, we expect that revenue per TPU can remain constant, and accordingly, with TPU volumes expected to grow ~110% YoY amid ramping external sales, we expect Celestica’s revenue from Google can grow proportionately, implying ~\$7.6B in incremental revenue. Celestica has been investing in capex to support this ramp, which signals confidence in steep growth (Exhibit 4).
- **Between Helios Scale-up and the rest of the high-performance switching business, we see \$6B in HPS revenue as feasible.** We note that Celestica has been one of the earliest switching vendors to ramp 1.6T switches across its customer base. In particular, Celestica is doing the scale-up switches for AMD Helios. We estimate scale-up content at ~\$600k per rack, and given our expectation of 730k AMD GPUs in 2027, this could be ~10k racks, or ~\$6B in high-performance switching (HPS) revenues (Exhibit 5). Viewed another way, stripping out a potential contribution from Google, Celestica likely has ~\$5.5B in non-Google HPS revenue. Excluding TPU growth, we expect the switching market to grow ~30%, largely driven by ASP upside from the 1.6T transition; given Celestica’s leadership in 1.6T and the Helios scale-up ramp, we believe that Celestica should gain share and materially outgrow the market, pointing to \$3-6B in 1.6T switching.
- **Even haircutting for execution risk, we model CCS up ~\$20B to \$36B for 2027. We net out at \$40.0B in revenues and \$23.79 in EPS, vs. consensus at \$35.7B and \$19.87.** We acknowledge significant operational risks to these opportunities. We see the greatest risk to OpenAI Jalapeno - while Broadcom has talked about a 1.3 GW deployment in 2027 and OpenAI is reportedly trying to accelerate the ramp further, we note that this is brand new rack architecture that pretty meaningfully diverges from more well established designs: notably, Jalapeno seeks to maximize the scale-up domain and reduce dependency on scale-out, while also keeping caches local to SRAM/HBM/DRAM and reducing dependence on NAND. Accordingly, we see significant risk that Jalapeno proves hard to manufacture, delaying the timeline. Likewise, while the TPU program is well established, TPU v8 will be ramping, and risk on that front cannot be taken for granted either. Finally, the HPS ramp depends on the availability of Broadcom’s Tomahawk 6 switch silicon. While Broadcom sounds confident in the Tomahawk 6 ramp, they have acknowledged that it will be back-end loaded, and as a result relatively minor delays could push the timeline to 2028. On net, we haircut the \$27B potential opportunity, and model CCS up \$20B to \$36B. Overall, we model \$40.0B in revenues and \$23.79 in EPS, still meaningfully higher than consensus at \$35.5B and \$19.69 (Exhibit 6).

Much of the debate on the stock appears to have shifted beyond 2027 numbers, reflecting broader caution about the sustainability of the AI infrastructure build in general and, more idiosyncratically, Celestica’s competitive position. This in turn has driven multiple compression as near term estimates for Celestica continue to be revised upwards, but longer-term investors appear hesitant to underwrite that strength as structural rather than cyclical. However, we believe Celestica can continue to perform strongly beyond 2027. We acknowledge that visibility declines significantly

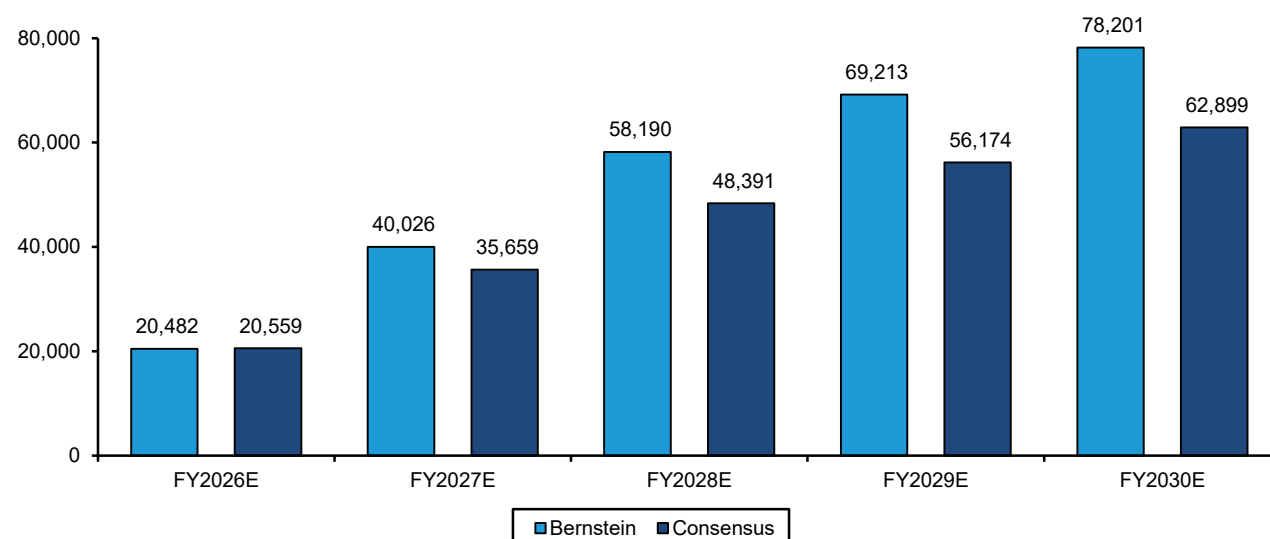
beyond 2027 - while many of Celestica's existing programs are likely still growing, growth for many of those programs could be much more modest than the growth we have seen over the past few years. However, we believe Celestica remains well-positioned to continue to win in emerging new programs. Celestica's experience in managing complex programs is hard to replicate, and its profit dollars remain a relatively small part of total data center capex. Data center operators appear relatively insensitive to price, but highly sensitive to yields and timelines; switching to a cheaper vendor is a relatively minor BOM saving but which potentially has major operational risks, especially for complex and high value builds. Accordingly, we believe Celestica remains well positioned to win in scale-up as UALink begins to supplant NVLink, and to win more broadly in rack programs as new GPU/ASIC programs ramp.

We see the analyst day on 10/27 as a key catalyst. We also believe Celestica's valuation is undemanding, and appears to discount limited growth beyond 2027. We rate Celestica Outperform, with a price target of \$520. We continue to believe that Celestica can guide conservatively and still guide to numbers materially above sell-side consensus. However, given concerns about the sustainability of near-term strength, we are less confident that guiding to higher numbers for 2027 will be enough to get the stock moving. On its own, this may instead serve to continue Celestica's multiple compression as estimates move up and the stock does not. Instead, if management is able to tell the story of why Celestica is positioned to continue to win against EMS and ODM peers even beyond its existing programs, giving longer-term investors more confidence in the durability of the business, this could help to unlock upside to the multiple. However, we believe Celestica's valuation is attractive (Exhibit 7) and that risk-reward continues to skew positive even beyond the 10/27 catalyst. We rate Celestica Outperform with a price target of \$520.

EXHIBIT 1: Datacenter XPU Pod Capex Breakdown by Architecture

	Nvidia			AMD	Google	OpenAI
	<u>H100 DGX x8</u>	<u>GB200 NVL 72</u>	<u>VR NVL 72</u>	<u>MI455X Helios</u>	<u>TPU v7 Ironwood</u>	<u>Jalapeno</u>
		4	225			
\$K / Rack						
CPU ex. DRAM	34	92	180	268	32	320
DRAM	263	280	888	1,212	126	395
CPU	297	372	1,068	1,481	158	715
XPU ex. HBM	182	2,112	3,960	2,520	1,408	2,034
HBM	59	300	697	952	275	846
XPU	240	2,412	4,657	3,472	1,683	2,880
Computing sub-total	537	2,784	5,725	4,952	1,841	3,595
Front-end		144	80	70		32
Scale-up Switches		180	277	200		300
OCS					154	77
Cabling		123	158	140	43	194
Backplanes & Other		102	154	250	102	102
Scale-up		405	589	590	299	673
SuperNICs	112	144	198	324		0
Scale-out Switching		108	108	237	113	0
Transceivers		127	194	245	128	109
Scale-out	22	380	500	806	241	0
Networking sub-total	134	929	1,170	1,466	539	814
Direct-attached Storage	106	222	222	532	92	214
Cooling	16	51	102	102	40	70
Chassis	31	100	100	100	48	96
Power Delivery	14	44	102	80	30	144
Others			100	100	100	100
Pod Total	838	4,130	7,520	7,333	2,691	5,032

Source: Expert Conversations, Company Disclosures, Literature Search, Channel Checks, Bernstein estimates and analysis

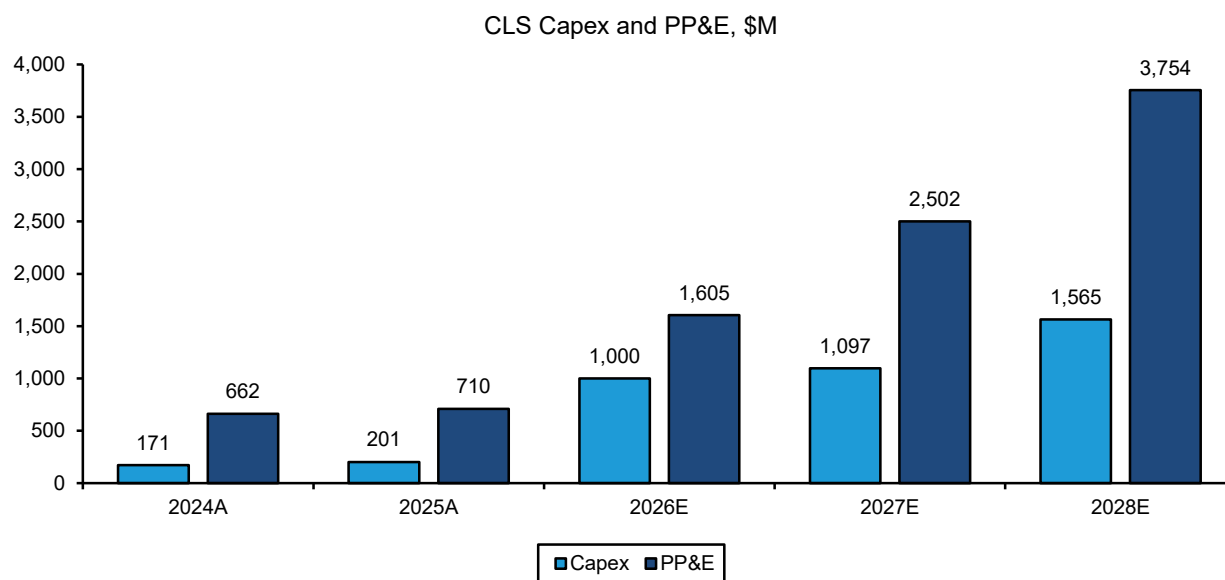
EXHIBIT 2: **Revenue, Bernstein vs. Consensus (\$M)**

Source: Bernstein estimates and analysis, CapIQ, Bloomberg (updated as of 10/01/26)

EXHIBIT 3: **We see significant upside to revenue for CLS and we see the 10/27 analyst day as a key catalyst.****Celestica 2026-27 Revenue Increase**

GW of Jalapeno deployment	1.3	2026 Enterprise revenue	12,356
# of Jalapeno racks	5,652	2027 Enterprise Revenue	37,466
Revenue per rack (\$K)	2,044		
Jalapeno Revenue (\$M)	11,551	Q2 HPS Revenue	1,900
		% of revenue from HPS	72%
AMD GPUs (K)	726	2026 HPS revenue	8,303
AMD racks (K)	10		
Scale-up per rack (\$K)	590	2026 non-Google HPS revenue	5,480
Helios Scale-up opportunity (\$M)	5,947	2027 non-Google HPS Revenue	7,672
% of revenue from Google	34%	2026-27 CCS Growth, Bernstein	27,302
Google Revenue in 2026 (\$M)	6,964	2026 CCS Revenue, Bernstein	16,967
TPU shipments in 2026 (K)	4,280	2027 CCS Revenue, Bernstein	44,269
Revenue per TPU (\$K)	1.63	<i>Growth %</i>	<i>161%</i>
TPU shipments in 2027 (K units)	8,958	2026-27 CCS Growth, Consensus	12,832
		2026 CCS Revenue, Consensus	16,424
CLS Google Revenue in 2027	14,575	2027 CCS Revenue, Consensus	29,256
2026-27 Incremental Google Revenue	7,611	<i>Growth %</i>	<i>78%</i>

Source: Company filings, Bernstein estimates and analysis

EXHIBIT 4: **CLS Capex and PP&E, \$M**

Source: Company filings, Bernstein estimates and analysis

EXHIBIT 5: **AMD Helios Rack BOM****\$K / Rack**

CPU ex. DRAM	268
DRAM	1,095
CPU	1,363

GPU ex. HBM	1,958
HBM	1,642
GPU	3,600
Computing sub-total	4,963

Front-end	45
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Scale-up Switches	180
Cabling	123
Backplanes & Other	102
Scale-up	405

SuperNICS	324
Scale-out Switching	155
Transceivers	288
Scale-out	767
Networking sub-total	1,218

Direct-attached Storage	532
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Cooling	158
Chassis	100
Power Delivery	150
Others	100
Pod Total	7,221

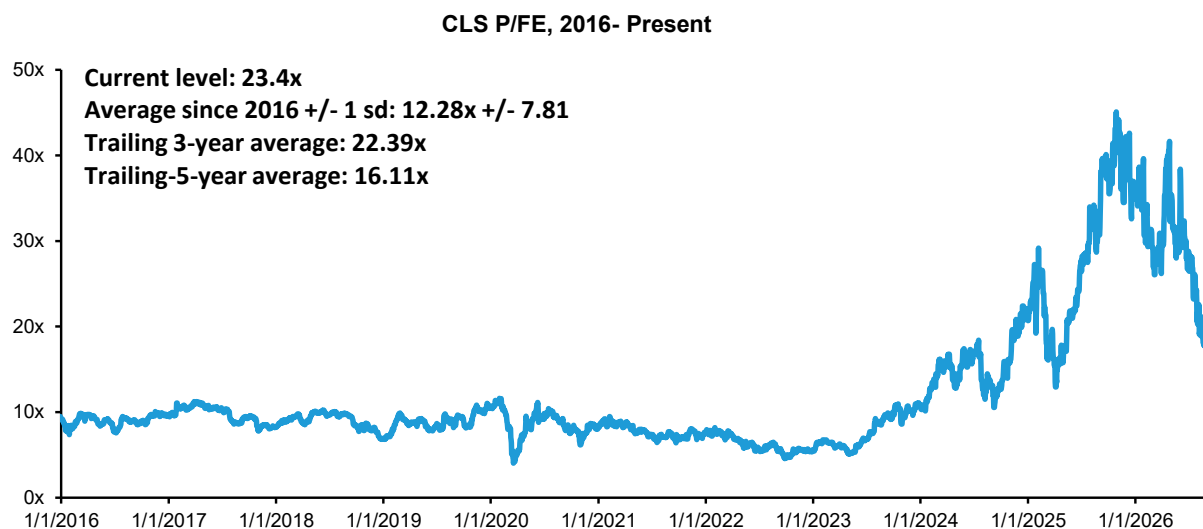
Source: Company filings, Bernstein estimates and analysis

EXHIBIT 6: Celestica, Bernstein vs. Consensus

CLS	FY26E	FY27E	FY28E	FY29E	FY30E
Total Revenues (\$M)					
Consensus	\$20,559	\$35,659	\$48,391	\$56,174	\$62,899
Actual / Bernstein Est.	\$20,482	\$40,026	\$58,190	\$69,213	\$78,201
Bernstein vs. Cons.	-0.4%	12.2%	20.3%	23.2%	24.3%
Operating Profit (\$M)					
Consensus	\$1,711	\$3,085	\$4,183	\$5,060	\$6,242
Actual / Bernstein Est.	\$1,711	\$3,502	\$5,131	\$6,118	\$6,921
Bernstein vs. Cons.	0.0%	13.5%	22.7%	20.9%	10.9%
Opex (\$M)					
Consensus	\$635	\$1,017	\$1,248		
Actual / Bernstein Est.	\$628	\$1,068	\$1,512		
Bernstein vs. Cons.	-1.2%	5.0%	21.2%		
EPS (\$)					
Consensus	\$11.21	\$19.86	\$26.96	\$33.86	\$41.07
Actual / Bernstein Est.	\$11.35	\$23.79	\$35.21	\$42.25	\$48.07
Bernstein vs. Cons.	1.2%	19.7%	30.6%	24.8%	17.0%
FCF (\$M)					
Consensus	\$491	\$525	\$1,092	\$2,138	\$2,623
Actual / Bernstein Est.	\$608	\$483	\$1,526	\$3,206	\$4,072
Bernstein vs. Cons.	23.7%	-8.0%	39.8%	50.0%	55.2%

Source: Bloomberg (updated as of 10/01/26), Bernstein estimates and analysis

EXHIBIT 7: CLS Valuation



Source: Bernstein estimates and analysis, CapIQ, Bloomberg (updated 10/01/2026)

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 8: Celestica: Financial Model

Celestica Inc - Financial Model <i>In US\$ M unless otherwise specified</i>	12/31/2025 2025A	12/31/2026 2026E	12/31/2027 2027E	12/31/2028 2028E	3/31/2025 1Q25A	6/30/2025 2Q25A	9/30/2025 3Q25A	12/31/2025 4Q25A	3/31/2026 1Q26A	6/30/2026 2Q26A	9/30/2026 3Q26E	12/31/2026 4Q26E
Income Statement												
Non-GAAP Income Statement												
Revenue	12,390.9	20,481.5	40,026.4	58,189.7	2,648.6	2,893.4	3,194.0	3,654.9	4,047.0	4,698.6	5,426.2	6,309.8
COGS	10,975.9	18,143.1	35,456.5	51,546.1	2,357.1	2,555.7	2,819.6	3,243.5	3,588.7	4,159.9	4,804.0	5,590.5
Gross Profit	1,415.0	2,338.4	4,569.9	6,643.7	291.5	337.7	374.4	411.4	458.3	538.7	622.1	719.3
SG&A	364.0	416.9	732.8	791.8	85.0	87.8	94.4	96.8	91.0	104.1	108.8	113.0
R&D	118.2	203.1	320.2	698.3	17.6	34.0	36.4	30.2	41.2	46.3	53.5	62.2
Other	5.8	7.9	15.4	22.4	1.1	1.2	1.4	2.1	0.9	2.0	2.3	2.7
Opex	488.0	627.9	1,068.4	1,512.5	103.7	123.0	132.2	129.1	133.1	152.4	164.5	177.9
Operating Income	927.0	1,710.5	3,501.5	5,131.2	187.8	214.7	242.2	282.3	325.2	386.3	457.6	541.5
Other income (expense), net:	52.6	62.9	62.9	62.9	13.7	13.5	12.8	12.6	16.0	17.4	14.9	14.6
Pre-tax Income	874.4	1,647.6	3,438.6	5,066.3	174.1	201.2	229.4	269.7	309.2	368.9	442.7	526.9
Income Tax	171.2	331.1	691.0	1,018.5	34.0	40.0	46.3	50.9	59.7	73.5	90.8	107.1
Effective Tax Rate %	19.6%	20.1%	20.1%	20.1%	19.5%	19.9%	20.2%	18.9%	19.3%	19.9%	20.5%	20.3%
Net Income	703.2	1,316.5	2,747.6	4,049.8	140.1	161.2	183.1	218.8	249.5	295.4	351.8	419.8
Diluted Share Count	116.1	116.0	115.5	115.0	116.9	115.9	115.9	115.9	115.7	116.2	116.1	116.0
Earnings per Share	6.06	11.35	23.79	35.21	1.20	1.39	1.58	1.89	2.16	2.54	3.03	3.62
Growth												
Drivers												
GAAP Net Income Reconciliation												
Adjusted Non-GAAP PF Net Income (Loss)	703	1,317	2,748	4,050	140.1	161.2	183.1	218.8	249.5	295.4	351.8	419.8
Share-based compensation	70	108	191	277	26	15.2	15.6	13	30.5	19.3	28.4	30.1
Amortization of intangible assets	40	67	-	72	10	9.9	10	9.9	10	19.3	19.1	18.5
Non-GAAP adjustments to tax	(21)	(16)	-	-	(6.5)	6.3	(3.2)	(17.1)	(15.7)	(0.7)	-	-
Others	(89)	(143)	-	-	(29.5)	(31.4)	(22.4)	(5.8)	(24.8)	(37.9)	(41.2)	(39.5)
GAAP PF Net Income (Loss)	833	1,337	2,557	3,701	86.2	211	267.8	267.5	212.3	368.8	345.5	410.8
(129)	(21)	191	349									
Non-GAAP as % of GAAP	84%	98%	107%	109%	163%	76%	68%	82%	118%	80%	102%	102%
Drivers:												
SBC as % of revenue			0.5%	0.5%	1.0%	0.5%	0.5%	0.4%	0.8%	0.4%	0.5%	0.5%
Balance Sheet												
Assets												
Cash and Cash Equivalents	596	870	1,353	2,878	303.0	313.8	305.9	595.6	378.0	535.7	386.4	869.9
Accounts Receivable, Net	2,638	4,483	8,761	12,736	2,135.9	2,287.8	2,439.3	2,638.1	3,167.4	3,338.2	3,855.1	4,482.9
Inventories	2,188	4,572	8,934	12,988	1,788.3	1,918.1	2,046.7	2,188.0	2,672.9	3,401.7	3,928.4	4,571.5
Other current assets	252	479	936	1,361	149.3	251.3	350.9	251.5	178.6	298.7	424.9	478.9
Total Current Assets	5,673	10,403	19,983	29,963	4,376.5	4,771.0	5,142.8	5,673.2	6,396.9	7,574.3	8,594.9	10,403.1
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Property, plant & equipment, net	586	1,453	2,349	3,601	536.5	549.4	551.9	586.0	711.3	1,026.3	1,242.8	1,452.5
Operating lease right-of-use assets	124	153	153	153	124.6	123.5	124.5	124.1	149.8	152.7	152.7	152.7
Goodwill	333	333	333	333	340.5	340.8	340.7	333.1	333.0	332.9	332.9	332.9
Other intangible assets, net	266	207	207	136	297.5	286.8	275.4	266.2	255.6	244.9	225.8	207.3
Deferred income taxes	156	277	541	787	86.9	95.2	99.5	156.4	182.3	206.2	238.1	276.9
Other Non-Current Assets	74	336	657	955	72.4	74.4	71.9	74.1	231.1	250.3	289.1	336.1
Total Non-Current Assets	1,540	2,758	4,240	5,965	1,458.4	1,470.1	1,463.9	1,539.9	1,863.1	2,213.3	2,481.4	2,758.5
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Total Assets	7,213	13,162	24,223	35,928	5,834.9	6,241.1	6,606.7	7,213.1	8,260.0	9,787.6	11,076.2	13,161.6
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Liabilities												
Accounts payable	1,866	5,575	10,895	15,839	1,377.8	1,595.2	1,679.8	1,866.1	3,087.9	3,819.7	4,632.9	5,575.1
Accruals and other current liabilities and provisions	1,897	3,137	6,131	8,913	1,649.7	1,699.0	1,795.1	2,047.5	1,966.8	2,333.5	2,435.0	3,137.3
Operating Liabilities	3,914	8,712	17,026	24,753	3,027.5	3,294.2	3,474.9	3,913.6	5,054.7	6,153.2	7,067.9	8,712.4
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Total Debt	777	810	810	810	941.7	875.2	784.1	776.5	772.4	810.4	810.4	810.4
Other non-operating liabilities	131	344	344	344	308.9	313.8	319.1	306.7	334.7	344.4	344.4	344.4
Total Non-Operating Liabilities	1,083	1,155	1,155	1,155	1,250.6	1,189.0	1,103.2	1,083.2	1,107.1	1,154.8	1,154.8	1,154.8
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Total Liabilities	4,997	9,867	18,181	25,908	4,278.1	4,483.2	4,578.1	4,996.8	6,161.8	7,308.0	8,222.7	9,867.2
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Equity												
Total Equity	2,216	3,294	6,042	10,020	1,556.8	1,757.9	2,028.6	2,216.3	2,098.2	2,479.6	2,853.5	3,294.4
Assets - Liabilities & Equity	-	-	-	-	-	-	-	-	-	-	-	-
Book value per share	\$19.09	\$28.40	\$52.30	\$87.12	\$13.32	\$15.17	\$17.50	\$19.12	\$18.13	\$21.34	\$24.57	\$28.39
Working Capital												
Revenue	12,391	20,482	40,026	58,190	2,648.6	2,893.4	3,194.0	3,654.9	4,047.0	4,698.6	5,426.2	6,309.8
COGS	10,976	18,143	35,456	51,546	2,357.1	2,555.7	2,819.6	3,243.5	3,588.7	4,159.9	4,804.0	5,590.5
Opex	488	628	1,068	1,512	103.7	123.0	132.2	129.1	133.1	152.4	164.5	177.9
US NETWORKING & COMMUNICATIONS EQUIPMENT												
Accounts Receivable Days	77.7	79.9	79.9	79.9	73.6	72.2	69.7	65.9	71.4	64.8	64.8	64.8
Inventory Days	72.8	92.0	92.0	92.0	69.2	68.5	66.2	61.6	68.0	74.6	74.6	74.6
Accounts Payable Days	62.1	112.2	112.2	112.2	53.3	57.0	54.4	52.5	78.5	83.8	88.0	91.0
Cash Conversion Cycle	88.4	59.7	59.7	59.7	89.5	83.7	81.6	74.9	60.9	55.7	51.4	48.4
As % of revenue												

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	1 Oct 2026	Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
CLS (Celestica)	O	USD	373.09	520.00	34.0%	USD	6.06	11.35	23.79	61.6	32.9	15.7
SPX			7,666.45									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Celestica Inc**

We apply a ~22x multiple to our estimate of \$23.79 in FY 27 EPS, and set our price target at \$520.

RISKS**Celestica Inc**

Competition with ODM and EMS peers intensifies, leading to a lower win rate for new programs, reduced share of wallet for existing programs, and narrower margins

Nvidia gains share, reducing Celestica's opportunity to capture share with competing ecosystems such as Google TPU

AI adoption decelerates, in turn leading to reduced investment in AI infrastructure

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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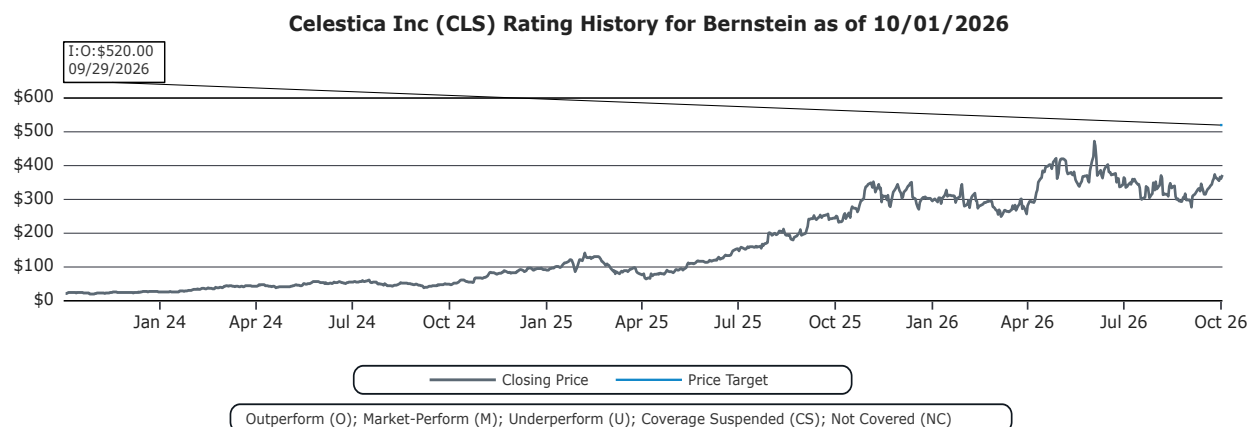
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

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